

$$Q_D = f(\underset{\uparrow}{P}, Z, W_{\text{SHIFT SUPPLY}})$$

Endogen

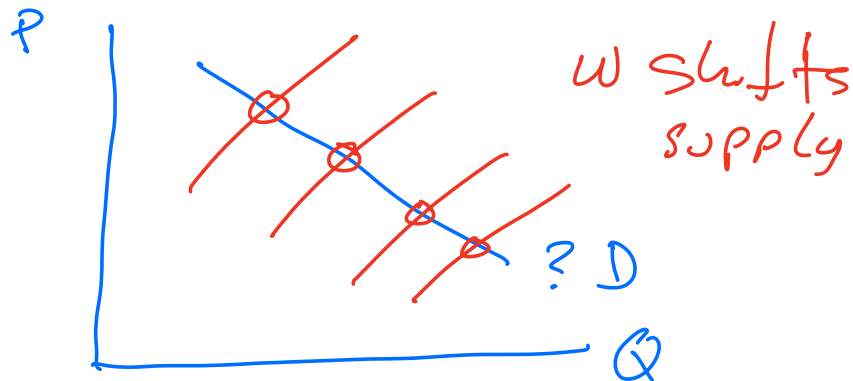
Let for pri's $\hat{P}$ exogenous form

IV :

$$\hat{P} = f(Z, W)$$

(1st stage 2SLS)

$$Q_D = f(\hat{P}, Z, W)$$



Pres. form

$$\ln(P) = \alpha_1 + \alpha_2 \cdot \text{STOCKM} + \alpha_3 \cdot \text{TIK} + \dots + \alpha_4 \cdot \text{ONS} + \alpha_5 \cdot \text{TM} + \alpha_6 \cdot \text{MON}$$

~~P~~ RESTRICTED

$$\ln(P) = \beta_1 + \beta_2 \cdot \text{STOCKM}$$

$$H_0: \alpha_3 = \alpha_4 = \alpha_5 = \alpha_6 = 0$$

H_1 : AT LEAST ONE OF α 'S
ARE DIFF FROM ZERO.

